Figure 6. Estonia: Public Sector Debt Sustainability Analysis (DSA)—Baseline Scenario

(in percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators [1/]

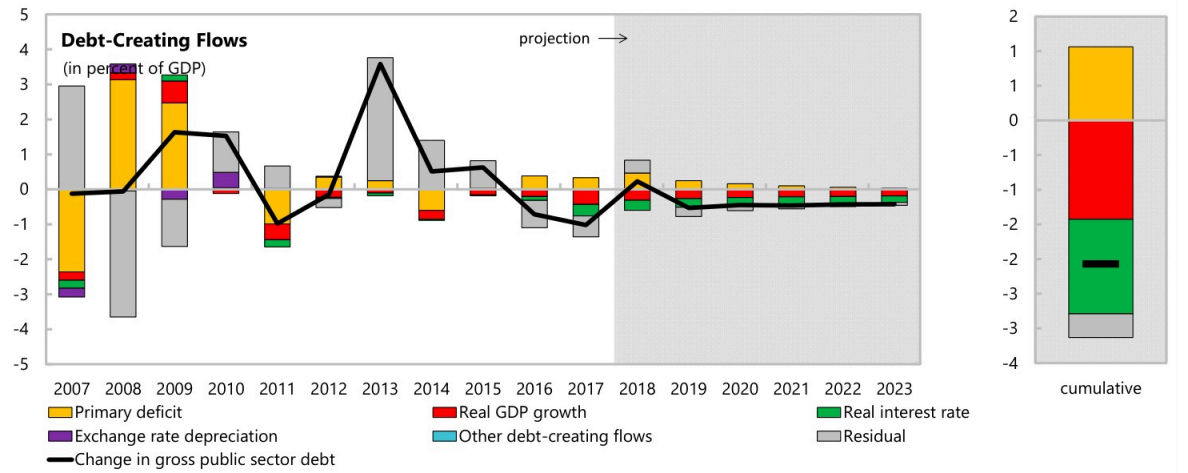
	Actual			Projections					
	2007-2015 [2/]	2016	2017	2018	2019	2020	2021	2022	2023
Nominal gross public debt	6.7	9.6	8.6	8.9	8.3	7.9	7.4	7.0	6.6
Public gross financing needs	1.7	2.1	2.0	0.9	2.1	1.8	1.6	1.5	1.4
Real GDP growth (in percent)	0.9	2.1	4.9	3.9	3.2	3.0	3.0	2.9	2.9
Inflation (GDP deflator, in percent)	4.0	1.6	4.0	4.0	3.4	3.4	3.4	3.4	3.4
Nominal GDP growth (in percent)	5.0	3.7	9.0	8.1	6.7	6.6	6.5	6.4	6.3
Effective interest rate (in percent) [4/]	3.0	0.5	0.4	0.6	0.5	0.6	0.6	0.6	0.7

As of April 02, 2018

Sovereign Spreads		
EMBIG (bp) 3/		0
5Y CDS (bp)		65
Ratings	Foreign	Local
Moody's	A1	A1
S&Ps	AA-	AA-
Fitch	A+	A+

Contribution to Changes in Public Debt

	Actual			Projections							
	2007-2015	2016	2017	2018	2019	2020	2021	2022	2023	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	0.7	-0.7	-1.0	0.2	-0.5	-0.4	-0.5	-0.4	-0.4	-2.1	
Identified debt-creating flows	0.1	0.1	-0.4	-0.1	-0.3	-0.3	-0.3	-0.3	-0.3	-1.7	
Primary deficit	0.3	0.4	0.3	0.5	0.2	0.2	0.1	0.1	0.0	1.1	-0.4
Primary (noninterest) revenue and grants	39.0	40.2	39.8	40.2	40.4	40.4	40.3	40.2	39.9	241.3	
Primary (noninterest) expenditure	39.2	40.6	40.2	40.7	40.6	40.5	40.4	40.3	39.9	242.4	
Automatic debt dynamics [5/]	-0.1	-0.3	-0.8	-0.6	-0.5	-0.5	-0.4	-0.4	-0.4	-2.8	
Interest rate/growth differential [6/]	-0.1	-0.3	-0.8	-0.6	-0.5	-0.5	-0.4	-0.4	-0.4	-2.8	
Of which: real interest rate	0.0	-0.1	-0.3	-0.3	-0.2	-0.2	-0.2	-0.2	-0.2	-1.4	
Of which: real GDP growth	-0.1	-0.2	-0.4	-0.3	-0.3	-0.2	-0.2	-0.2	-0.2	-1.4	
Exchange rate depreciation [7/]	0.0	0.0	0.0	...	...	...	...	...	...	...	
Other identified debt-creating flows	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Please specify (2) (e.g., ESM and Euroare	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Residual, including asset changes [8/]	0.6	-0.8	-0.6	0.4	-0.3	-0.1	-0.1	-0.1	-0.1	-0.3	



Source: IMF staff.